

WYCKOFF ANALYTICS

Comments from students:

Great exercise this past week to develop exploration and understanding of the VSA concepts. **I'm moving from a state of feeling I am understanding this to moments of total confusion.** I interpret this as a good sign of "absorption"! You said to "grind it out", but this course is so interesting it's more difficult to put the material down. Continued appreciation of your teaching and inspiration to learn.

This VSA has been the most difficult section for me thus far, simply because I was ignorant, thus I'm in the class. Last weeks bar by bar was invaluable. I look forward to continued VSA discussions.
I expected this course would be like a college course and I am getting just that. Glad to be learning stuff I have never heard before, I knew Wyckoff was the next logical stage in my continued education. You are definitely "The Professor" and I don't want anything less. I'll give you the same effort back. **Grinding**

I as well just wanted to pass along how much I've appreciated the class and your teaching. **This past lesson has really helped to solidify things in my mind even though there is so much more to learn for certain. Now, after only 7 lessons, I can visualize the markets in a whole different light.** I feel the Wyckoff Trading Method has really opened a door for greater market understanding that gives a small fish in the pond like myself the added conviction to grow and protect client's wealth. I look forward to the learning journey still ahead.



Wyckoff Trading Course (WTC)

February 25, 2019

Next webinar sessions for **WYCKOFF PRICE STRUCTURE** series:

March 4th at 3:00-5:30pm PST

Homework submission: **All homework assignments should be submitted in ONE file per person in .pptx, .pdf or .doc formats.** Please include your first name and the first letter of your last name in the homework file name, e.g., "Thomas B_WTC Homework 1". All assignments should be submitted to Roman's personal email.

The remainder of the WTC classes will be more interactive; students who would like to participate in discussions should have a working headset with a built-in microphone.

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HYPOTHETICAL OR SIMULATED PERFORMANCE RESULTS HAVE CERTAIN INHERENT LIMITATIONS. UNLIKE AN ACTUAL PERFORMANCE RECORD, SIMULATED RESULTS DO NOT REPRESENT ACTUAL TRADING AND DO NOT INCLUDE BROKERAGE AND OTHER FEES, OR SLIPPAGE. ALSO, IN SIMULATED PERFORMANCE RESULTS NO TRADES HAVE ACTUALLY BEEN EXECUTED, AND THEREFORE THE RESULTS MAY HAVE UNDER- OR OVER-COMPENSATED FOR THE IMPACTS OF A VARIETY OF MARKET FACTORS, SUCH AS LACK OF LIQUIDITY. SIMULATED TRADING PROGRAMS, IN GENERAL, CAN ALSO BE DESIGNED WITH THE BENEFIT OF HINDSIGHT. NO REPRESENTATION IS BEING MADE THAT ANY ACCOUNT WILL OR IS LIKELY TO ACHIEVE PROFITS OR LOSSES SIMILAR TO THOSE SHOWN.



WYCKOFF ANALYTICS

WYCKOFF TRADING COURSE

Session 8

VOLUME AND PRICE
ANALYSIS

2.25.2019

1. Volume Phase Analysis: Supply Signature
2. Q&A
3. Group Exercise #1
4. Homework #7: Group Exercise

Session 9

VOLUME AND PRICE
ANALYSIS

3.4.2019

1. Group Exercise #1
2. Volume Phase Analysis: Demand Signature
3. Volume Case Studies
4. Homework #7: Group Exercise



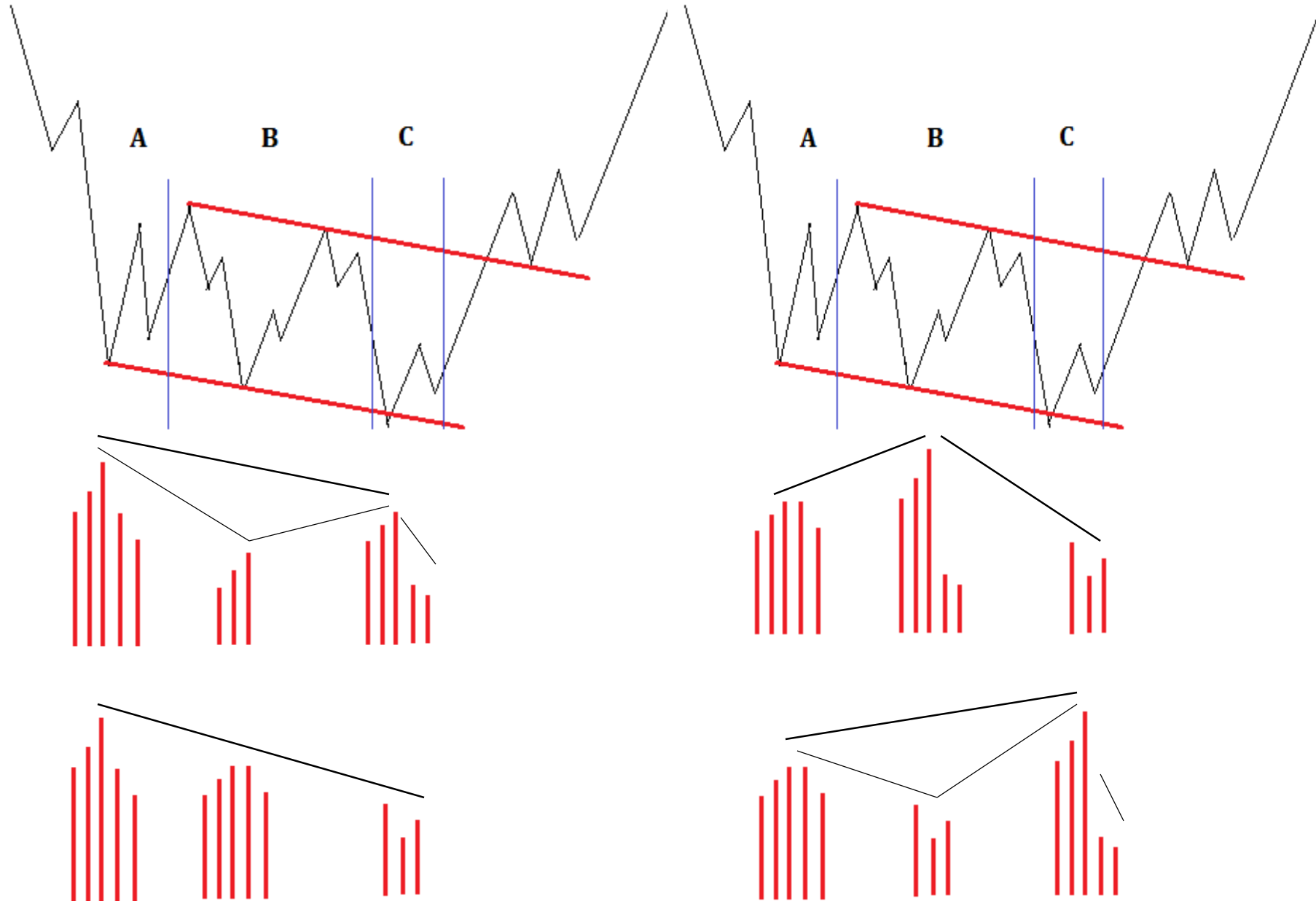
WYCKOFF ANALYTICS

VOLUME PHASE ANALYSIS

Supply Signature

Question: What are the main Supply signatures in Accumulation and Distribution formations?

SUPPLY Signatures of Wyckoff Phases (Accumulation)



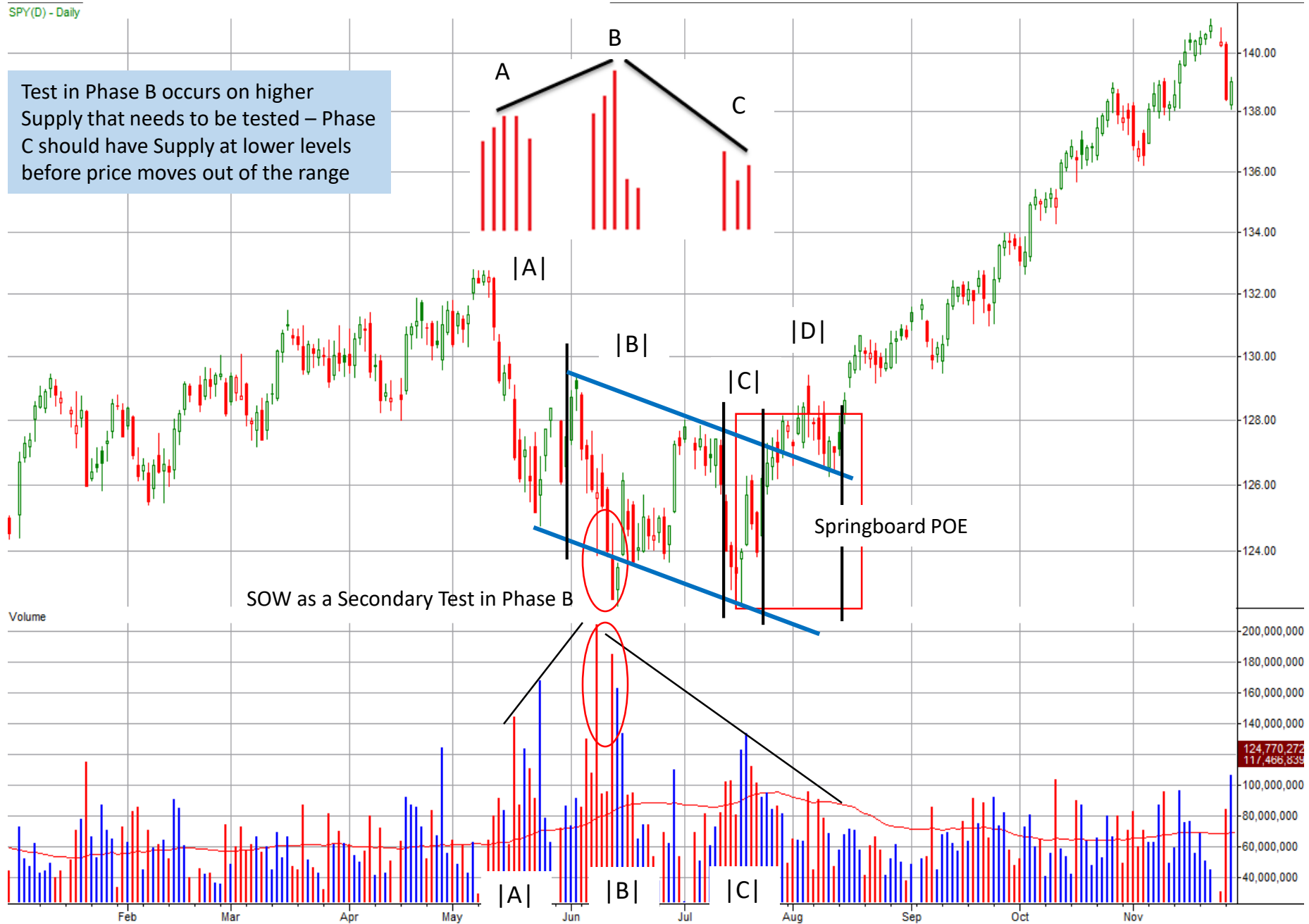
SUPPLY Signatures of Wyckoff Phases (Accumulation)



SUPPLY Signatures of Wyckoff Phases (Accumulation)



SUPPLY Signatures of Wyckoff Phases (Accumulation)



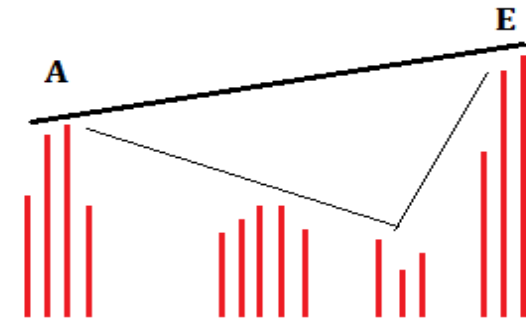
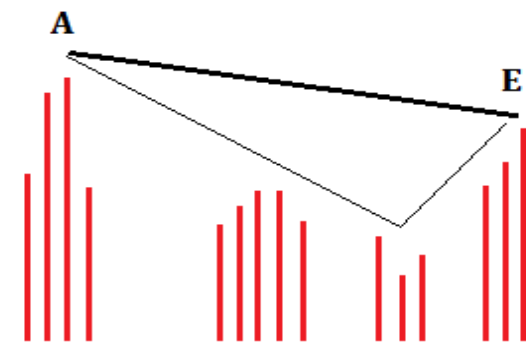
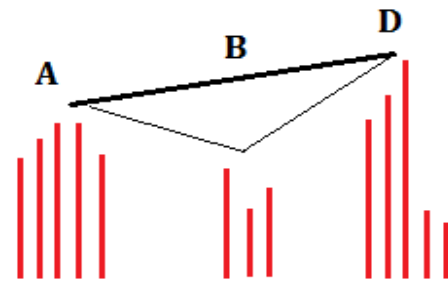
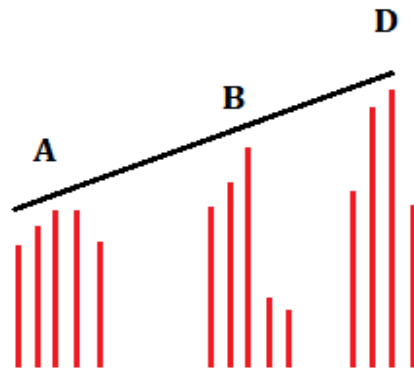
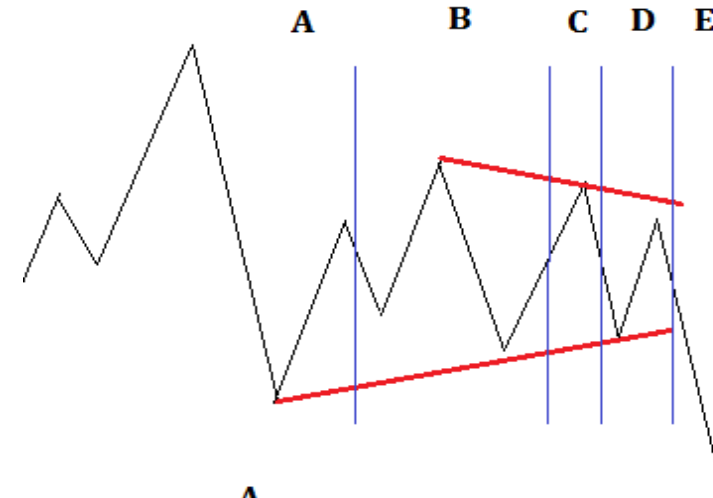
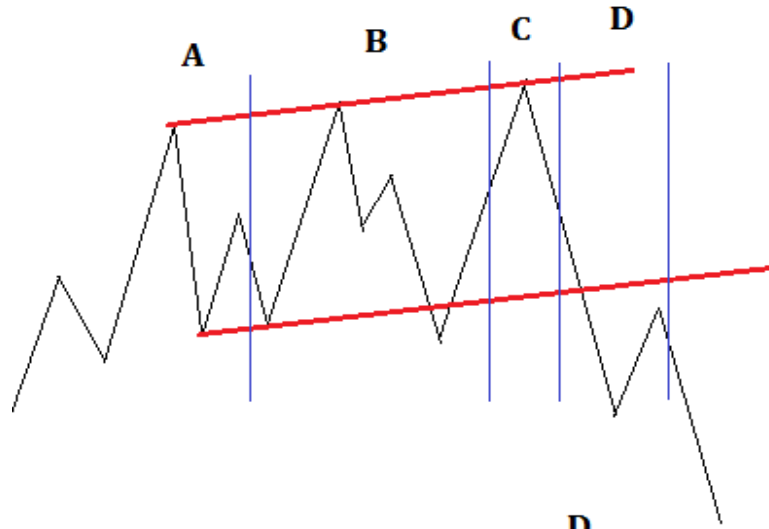
SUPPLY Signatures of Wyckoff Phases (Accumulation)

AMZN(D) - Daily

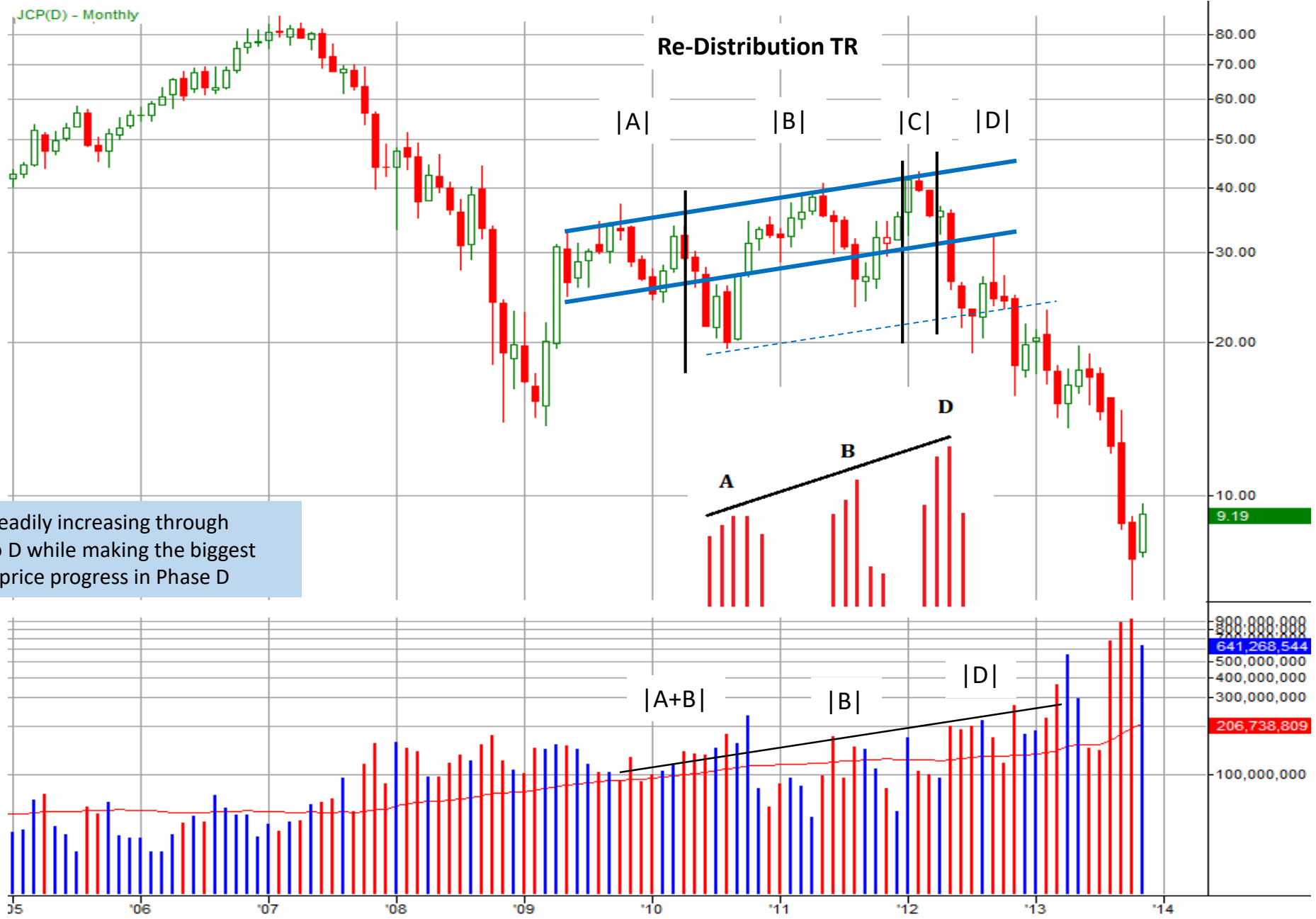


Supply in Phase C is the highest than in any preceding phase – a higher low test with decreased Supply should occur before price can move out of the range

SUPPLY Signatures of Wyckoff Phases (Distribution)



SUPPLY Signatures of Wyckoff Phases (Distribution)



Supply is steadily increasing through Phases A to D while making the biggest downward price progress in Phase D

SUPPLY Signatures of Wyckoff Phases (Distribution)

APOL(D) - Weekly

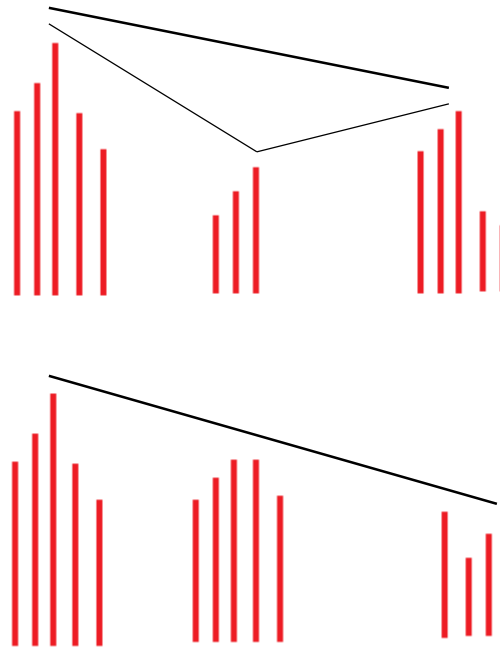
Biggest Supply comes in Phase A – Distribution on the way down (Teepee formation). Both Supply and Demand contract throughout TR structure with subsequent local increases in Supply in Phase D or E.



WYCKOFF ANALYTICS

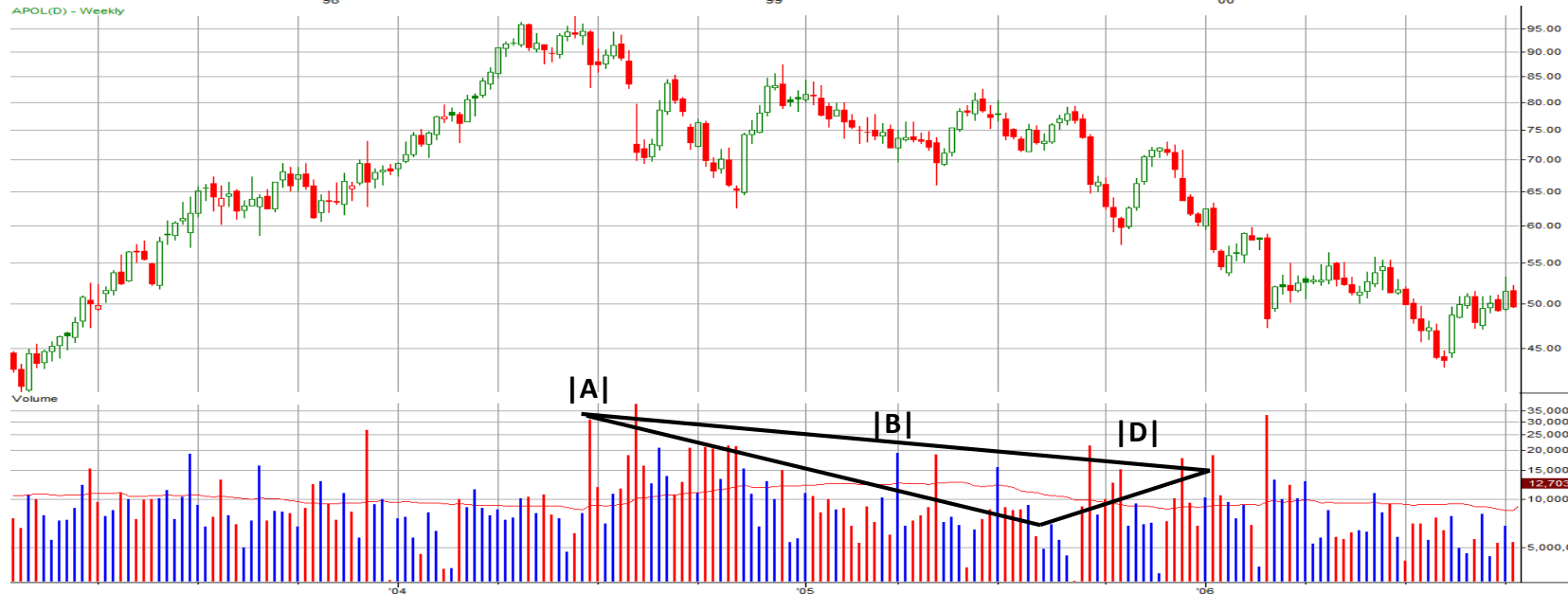
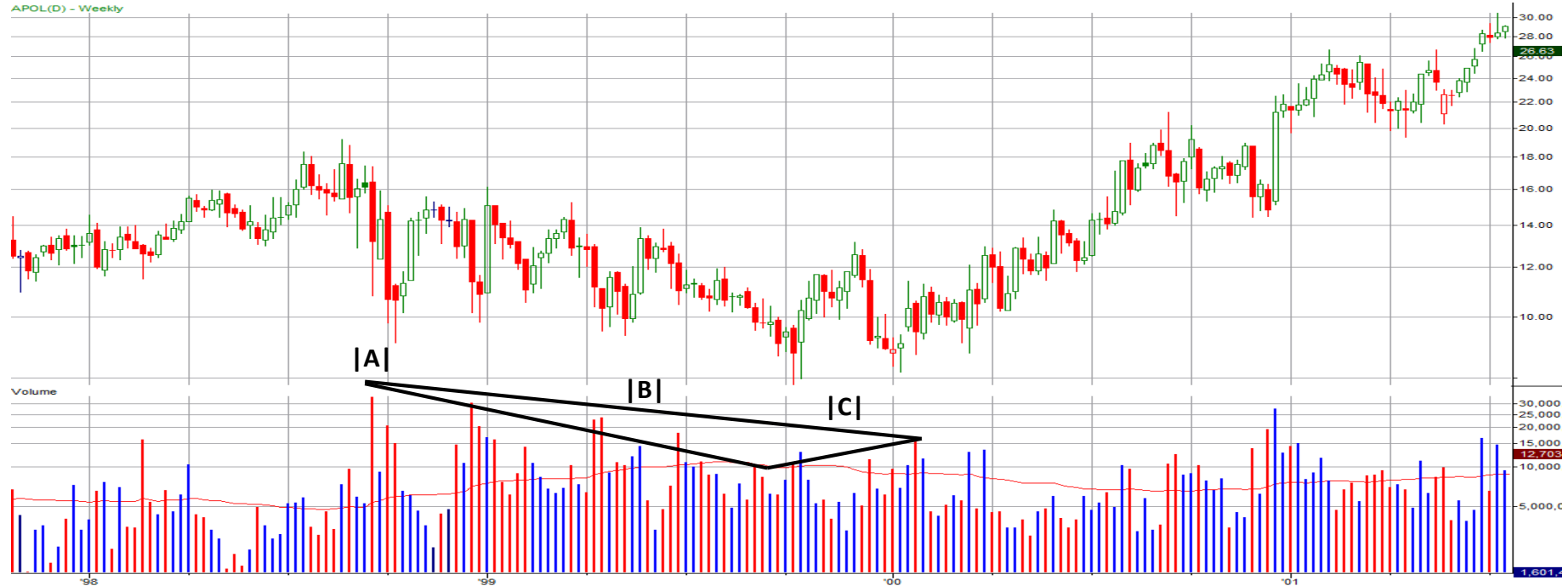
Group Exercise

Can Supply signature be the same for Accumulation and Distribution?



If YES, then how do we differentiate Accumulation from Distribution?

Exercise: Same stock, same Supply signature – What is the difference?



WYCKOFF ANALYTICS



Group Exercise and Homework #7:

Exercise: Volume and Price Analysis
Price Structural Analysis

Assignment:

1. Identify the dominance of Supply or Demand on a single bar or a swing
2. Combine Price Structural Analysis with Volume Analysis
3. Make your determination about the next most probable price action
4. Label trading ranges with Wyckoff Phases and events
5. Watch the video of this exercise again and make notes. Email the notes to Roman.

	31	32	33	34	35	35 (b)	36	37	37+						
Comparing															
To Bar	Avg	Avg	Avg	Avg	Avg	Avg	Avg	P	Avg						
Effort															
Volume	+++	+	++	+	++	=	++	-	-						
Demand	+++	+	-	=	+	+	++	-	--						
Supply	++	++	++	++	++	++	=	-	++						
Dominating Effort	D	S	S	S	S	S	D	D	S						
Result															
Spread	+++	+	++	++	++	+	++	-	+						
Close-to-spread	+++	+	-	-	-	+	+	+	-						
Close-to-close	+++	+	-	-	-	=	+	+	-						
Intention	Y	N	=	N	=	N	=	Y	=						
Analog	None	2, 28	None	33	33, 34	5, 26	2,13,25,27,32	16, 27	6, 21						
Conclusion															
Effort, Result	+++ , ++	+, ++	++ , -	+, ++	++ , ++	-, =	++ , ++	= , +	-, ++						
Short-term	=	-	-	-	-	-	+	-	-						
Notes/Intention															
31	Exhaustion type of move to the upside on extreme high volume. Historically it's been the largest move on the price, and the largest volume bar. Make a definitive move														
32	On above average volume, it's intention is to keep going higher at the previous bar rate, which does not achieve. Long tail down shows demand is present, but supply is h														
33	Long legged bearish doji on high volume after an aggressive upward move. Signaling a potential reversal or consolidation period, need more info.														
34	Confirms the reversal or consolidation, above avg volume, very long tails suggesting lots of supply coming in. Open gap down. Tried to go up but failed.														
35	High volume to the downside. Long tails, top and bottom. Big spread. Visited 32's price high and failed quickly. Visited 31 mid price level and went up quickly. Indecisive bar, but still b														
35 (b)	Tries to commit to its previous day low, but fails. Volume and closing price same as previous day. Closes about bar 31 mid price level.														
36	Bullish reversal bar (Need confirmation on the next day's price/volume action) on high volume after spending 5 days closely above support, creating a strong support area														
37	Confirms that the previous bar was a reversal bar of the previous reaction. Low volume, gap open higher. A bearish signal when price cannot go above bar 32 high. Bearish long bar. Open gap higher on low volume, at resistance which quickly reveses and doses slightly lower of the middle of the Trading Range established by the high														
37+	on 33 and low of 35. Some kind of an Apex formation is starting to occur. Watch closely its behaviour. Is this a reversal to the mean type of action, need further														

Very Bullish	+++
Bull	++
Slightly Bull	+
Neutral	=
Slightly Bear	-
Bear	--
Very Bearish	---

Very High	+++
High	++
Slightly Higher	+
Average	Avg
Slightly Lower	-
Low	--
Very Low	---

Up	+
Down	-
Neutral	=
Previous P	
Yes	Y
No	N

Doug O – VSA Notes on Session #7 WTC

2/21/2019

#6	Increasing push to downside, suggest SC, 1 st point of fear, decreasing vol 5-6 provides clue to event, intraday low recovers to Close, suggesting demand more active, expect AR
#7	Vol decreasing but Result is better than previous bar, however fails to close above resistance of Bars# 4,5 Rally setting stage for non-trending environment, inability price to move up on emerging demand signature
#8	Small volume & spread increase, no price movement, buyers and sellers can't decide direction, AND trading narrows but stays in upper half of range, suggesting possible upside potential
#9	increased liquidity as weak hands want to get out, 2 nd point of fear, Phase C, some demand showing on close, illustrated by lower tail of Bar
#10	CHOCH bar confirming signal from #9, increased demand, Close above Bars 5-10, distance, analog ref to Bars 2, 7, 10, character greater result on #10 vis-à-vis 2 and 7 POE on #10, STOP below #9 (look at price level associated w past encounter, such as seen in #9, stop below #6 more conservative)
#11	Volume increase, more evidence of Supply as Close is barely above 50%, increasing Effort, decreased Result, , supply increase seen in upper wick Note: 2 nd POE on slight backup between #11 and #12
#12	Similar volume to Bar#11 but more bullish Close, highest thusfar on chart, spread increase from previous bar. Each bar produces some sort of reaction in pursuant bars. Weak hands are buyers in a 2 nd point of excitement.
#13	Increasing velocity to the upside, large volume increase and spread indicate institutional presence. While weak hands are buying in, strong hands are going to sell or preparing to scale back their position. Climactic character to this bar indicating CHOCH may emerge shortly Looks so bullish (volume confirms price), less visible is the emergence of Supply, expect some sort of reversal, suggesting a trading range. Character of a BC
#14	Following BC of Bar #13, opens higher but drops hypodermically to AR boundaries of a new trading range. Looks very bearish, but bullish character because fails to break lowest level of Bar # 13 and above Bars #1 and #2.
#15	Holds close of Bar #14 after selling off but recovering from intraday Low. Substantially lower volume with some signs of demand with no increase in Supply. Attempt to surpass However, Close fails to surpass Close of previous bar
#16	Increased effort stops downward trend of previous 5 bars, bullish, but fails to meet or pass resistance established in previous bars.

BAR# ANALYSIS		26	27	28	29	30	31	32	33
Effort	Volume	↓↓↓	↓	↑↑↑	↓	↑	↑↑↑↑	↓↓↓	≈
	Demand	↓	↑↑	↑↑	↓	↑	↑↑↑	↓↓↓	≈
	Supply	↑	↓	↓	↓	↑	↑↑	↓	↑↑
	Dominating Effort		D>S		S>D	D=S	D>S	D>S	S>D
Result	Spread	↑↑↑↑	↑	↓	↑	↑	↑↑↑↑	↓↓↓	≈
	Close-to-spread:	bearish	bullish	bullish	bearish	bearish	bullish	bullish	bearish
	Close-to-close:	bearish	bullish	bullish	bearish	bullish	bullish	bullish	bearish
	Intention (up/down)	Down→Failed	Up→Fulfilled	Up→Fulfilled	Down→Failed	Up→Failed	Up→Fulfilled	Up→Fulfilled	Up→Failed
	Analog bar(s)								
Market Behavior Analysis									
CO types:								Selling	
ITF types:							Selling		
Professionals:									
Public:							Buying	Buying	
FINAL DEDUCTIONS									
BIAS	Volume Equation:	Vol = D +S	Vol < = D >>+S <	Vol >> = D >> +S	Vol = D +S	Vol > = D >+S >	Vol >>> = D >>> +S >>	Vol = D +S	Vol > = D < +S >>
	Effort,Result	Effort , Result =	Effort , Result =	Effort > , Result =	Effort , Result =	Effort > , Result >	Effort >>> , Result >>>	Effort , Result =	Effort > , Result <<
	Short-term	bullish	bullish	neutral	bearish	bearish	bullish	bearish	bearish

Questions

- Volume:** When evaluating volume (effort) on current bar, are we recording the absolute level of volume or its relation to the previous bar[s] or even series of previous bars, eg. a diminishing supply curve over several bars?
- Intention:** On an upswing, is the intention sometimes to surpass resistance but as we reach the top of the range, the CO has intention to push the price back into the range, until CO has absorbed as much stock as desired? Do you then look at structural analysis to determine what the intention is?



Question 1 (Part 1)

Lee

Schematic #1



Schematic #2



Definition for a successful test for test #3 in phase C is “making a higher low on *lower supply*.”

Comparing the 2 schematics at the left hand side, schematic #2 is more appropriate than #1 even though volume of the test (bar #22) in schematic #1 is lower than that of bar #16, where in schematic #2, volume of bar #24 is higher than that of bar #22.

This is because the volume in each bar consists of both supply and demand, thus the volume alone itself can't fully satisfy the definition for a successful test in schematic #2. A further study about the supply information in phase C is required (Part 2, next slide).

Question 1 (Part 2)

Lee



Decrease of volume in higher low downswing (b) compared with downswing (a) has shown that the supply was decreasing.

$\text{Effort}_{24} > \text{Effort}_{22}$

$\text{Result}_{24} \gg \text{Result}_{22}$

$\text{Close-to-spread}_{24} > \text{Close-to-spread}_{22}$

$\text{Close-to-close : Bar}_{24} \gg \text{Bar}_{22}$

Therefore, based on the information above, it's clear that the increase of volume is due to :

$\text{Demand}_{24} \gg \text{Demand}_{22}$ to push the price higher, and,
 $\text{Supply}_{24} < \text{Supply}_{22}$.

$\therefore \text{Bar}_{24}$ is a successful test to Bar_{22} although $\text{Vol}_{24} > \text{Vol}_{22}$ and it doesn't violate the definition of the successful test.

Question 2

Homework Exercise #5: AAPL - 2

Lee



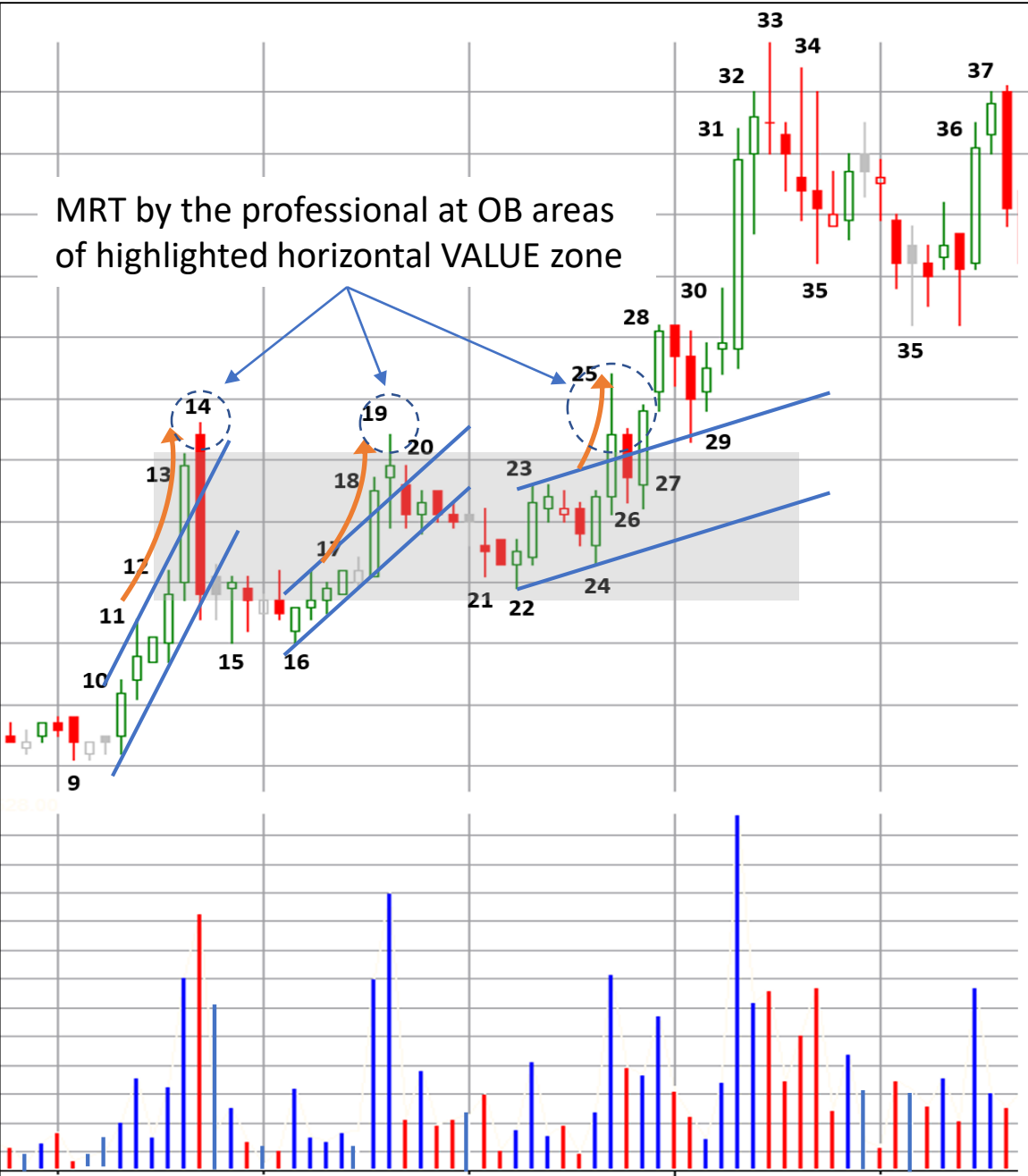
During the class on 4th Feb, it was explained that the professional will be carrying out the MRT at the OB areas (above the institutional VALUE zone).

- i) The professional here will still be considered as the strong hand?
- ii) If these professional are the SHs, after the MRT, they will be re-accumulating their shares again in the value zone as well as the OS areas?
- iii) Explanation about the party which is responsible to the MRT so far was referring to the professional only, does it mean that ITFs and COs are not participating in conducting the MRT?

Question 3

Lee

MRT by the professional at OB areas
of highlighted horizontal VALUE zone



- i) During last week class, it was mentioned that the professional were conducting MRT as well at bar #25 because the price was beyond the value zone. If the professional were SHs (part of the question 2), were they not aware that the trend was under the mark-up trend and the supply had been decreasing/exhausted around bar #25? Or their trading mechanism is mechanically conducting the MRT without much considering the context?
- ii) Will it be too extreme to consider the MRT by the professional is part of the reasons of BU formation after the SOS? By considering the normal volume characteristic, I would say the BU is mainly due to the WHs. Thus, this is why question 2 i) came across my mind.
- iii) Comparing to the horizontal VALUE zone, another way of explaining the MRT at the top of the bar #14, #19 & #25 could be due to the parabolic price surge beyond each up-sloping channel. Which of the explanation will be more convincing in this scenario?

Group Exercise - 1



BAR # ANALYSIS

Effort	Volume
	Demand
	Supply
	Dominating Effort
Result	Spread
	Close-to-spread:
	Close-to-close:
	Intention (up/down):
	Analogue bar(s)

SWING # ANALYSIS

Previous swing of the same bias
Previous swing of the counter bias

Market Behavioral Analysis (Strong/Weak Hands)

CO types:
ITF types:
Professionals:
Public:

FINAL DEDUCTIONS

BIAS

Short-term:
Long-term:

TIMING

CHARACTER

Distance
Target zones
Momentum
Duration

Additional notes:

Group Exercise - 2



BAR # ANALYSIS

Effort	Volume
	Demand
	Supply
	Dominating Effort
Result	Spread
	Close-to-spread
	Close-to-close
	Intention (up/down)
	Analogue bar(s)

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(Strong/Weak Hands)

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Additional notes: